

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
February 2026	All	All	Rie Horikawa	Numerous minor adjustments and updates to internal links. Add self-service reporting.
February 2025	All	All	Jeff Linsk CA&AS	Bifurcation of Lease Management into Lease Transaction Management (LTM) & Lease Administration Management (LAM) and numerous minor adjustments.
January 2024	All	All	Jeff Linsk CA&AS	Numerous minor adjustments and updates to internal links.
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

The IBM Global Real Estate (GRE) process encompasses the delivery of facility and administrative services in a controlled manner which fulfills internal and external customer requirements at IBM locations. Responsibilities vary by location depending upon site size, organization, and whether it is an IBM owned or leased facility. Real estate activities include the following areas: Lease Transaction, Lease Administration, Design and Construction, Facility Management, Asset Sales and Purchases, and Environmental Programs.

These processes are further defined as follows:

1. Lease Transaction Management is the process where leasing requirements are established, funding approvals are obtained, and contract execution is completed, as well as notification of lease termination, identification of surplus space, subleasing, buy-outs or real estate sales and disposal of space are completed.
2. Lease Administration Management is the process where obligations with Landlords are met, such as lease payments, review of operating expense reconciliations, and tracking of security deposits, as well as reporting of lease information to Lease Accounting.
3. Real Estate Acquisition includes the leasing and purchasing of real estate space to meet IBM's business objectives.
4. Design and Construction includes design, expansion, rearrangement, or renovation of existing owned or leased facilities, including infrastructure and utility projects or design and construction and/or fit-up of new owned or leased buildings.
5. Facility services may include, but are not limited to, facility planning, chemical and environmental management, safety, industrial hygiene, and acquisition and maintenance of equipment.
6. Building services may include, but are not limited to, cafeteria operations, mail services, shipping and receiving, building maintenance and operations, and confidential waste disposal.

These scopes of work may be provided by a supplier, a joint venture, a business partner, a subsidiary, or an IBM business unit.

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PLANNING: Audit Program Risk Alignment

IBM Global Real Estate

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Lease Transaction Management (LTM)	High	Lease Transaction Management Contract Management Disbursements to Brokers Financial Management Reporting Measurements Leased or Owned Space Disposition Real Estate Asset Sales and Purchases	LM001.P DS001.P DS002.P FM001.S CM001.P LO001.S RE001.P
Lease Administration Management (LAM)	High	Lease Administration Management Contract Management Disbursements Financial Management Reporting Measurements	LA001.P DS001.P DS002.P FM001.S CM001.P
Design and Construction	Medium	Design and Construction Contract Management Disbursements Financial Management Reporting Measurements	DC001.P CM001.P DS001.P DS002.P FM001.S
Facilities Operations (includes Energy Management and Safety)	Medium	Building Equipment Maintenance and Operations Contract Management Disbursements Financial Management Reporting Measurements Safety Environmental Management	BE001.P BE002.P CM001.P DS001.P DS002.P FM001.S HS001.P to HS012.P EM001.P

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PLANNING: Self-Service Report

Some information previously included in the Initial Data Request (IDR) items which continue to be relevant information in audits will now be extracted directly by the audit team. These are as follows:

Information previously in IDR	Instructional materials to download information
• Management Self-Assessment of Controls (MSAC) • Risk Evaluations (RE's) • Proactive Business Control Reviews • (No key controls)	Login to OpenPages Risk, Controls and Assurance . Open User menu in top right, select FBC General User as profile, Open Primary menu in top left, select "Organization", and select "Processes" and then search Real Estate using search bar, and then select the applicable criteria to get the results.

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Concern
Measurements List of all key measurements reported by management (including MSA - management self-assessment)	Review a sample of key measurements to ensure: - The creation methodology being utilized is appropriate. - The information within each report is accurate. - A root cause analysis is being performed for all key issues and the appropriate action plans are in place. - Management is properly reviewing and approving the reports.	Inaccurate or incomplete measurements could hinder management's ability to make key decisions. This could lead to sub optimal resource allocations, budget overages, or inappropriate activity from being detected.
Contract Management Universe of all contracts, scope of works (SOW) signed and managed during the audit period.	Select a sample of contracts to verify whether: - Contract included all required terms and conditions. - Deliverables were clearly defined, and measurements were specified in the contract. - There was a process to track and monitor contract deliverables. - Firm price was included in the contract, or there was clear documentation for how services and prices would be determined.	If all binding terms and conditions, as well as a clear definition of the scope of work, are not clearly stated in the contract, IBM is subject to prolonged disputes with suppliers. If contracts are not properly controlled, they may result in higher costs to IBM.

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PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Concern
Disbursements 1. A List of all disbursements/payments made during the audit period should be provided for analysis. 2. Universe of all credit notes referring related to disbursements or payments made during the audit period.	1. Review a sample of disbursements/purchase order (PO) payments to validate: - If an independent verification of goods or services was performed. - Whether price and quantity matched commitment included in scope of work. - In cases PO payments exceeded PO commitments, verify that activity is tracked and reconciled. - Whether there were any duplicate payments made, and what controls/root cause analysis was done in such situations. 2. Select a sample of credits to ensure: - Credit notes are issued promptly by the supplier. - Credit amounts were properly recorded, or credit amount was deducted from subsequent payments to the supplier.	Inaccurate or incomplete documentation clearing stating terms and conditions and pricing could lead to incorrect payments to suppliers. Insufficient evidence supporting confirmation of goods/services or insufficient validation of approvals could lead to unauthorized payments.
Application Management (AM) List of all applications, databases, and information technology (IT) tools	Review the application listing to determine if there are any unique systems outside of business-as-usual support systems. Review should also include application access, such as: analysis of access and controls where third parties are involved in the AM process.	Relevant systems may not have the required Application Systems Control and Auditability (ASCA) certifications. Continued Business Need check not performed, and employees may move to other roles leading to separation of duties (SOD) conflicts. Process or control weaknesses should be considered in the context of application controls, in particular reconciliations between systems.

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PLANNING: Reference Material

Corporate Instructions:

- IPL106 – Intellectual Property and Licensing Services – Receipt/disclosure of Confidential Information
<https://w3.ibm.com/ibm/corporate-documents/ipl/ipl-106>
- ENV203 – Management of Chemicals and Chemical Products
<https://w3.ibm.com/ibm/corporate-documents/env/env-203>
- ENV204 – Resource Conservation and Pollution Prevention
<https://w3.ibm.com/ibm/corporate-documents/env/env-204>
- ENV205 – Integrating Environmental Requirements into the Global Procurement Process
<https://w3.ibm.com/ibm/corporate-documents/env/env-205>
- ENV207 – Environmental Due Diligence for Business Transactions
<https://w3.ibm.com/ibm/corporate-documents/env/env-207>
- PROC164 – Hazardous Materials (Dangerous Goods) Transport
<https://w3.ibm.com/ibm/corporate-documents/proc/proc-164>
- FIN101 – Control of Disbursements
<https://w3.ibm.com/ibm/corporate-documents/fin/fin-101>
- PROC167 – Vendor Sourced Labor Services
<https://w3.ibm.com/ibm/corporate-documents/proc/proc-167>
- FIN 182 - Management Self-Assessment of Control
<https://w3.ibm.com/ibm/corporate-documents/fin/fin-182>
- LEG116 - Classification & Control of IBM Information
<https://w3.ibm.com/ibm/corporate-documents/leg/leg-116>
- HR110 - IBM Health and Safety Responsibilities
<https://w3.ibm.com/ibm/corporate-documents/hr/hr-110>
- FIN 178 - Highly Protected Risks (HPR)
<https://w3.ibm.com/ibm/corporate-documents/fin/fin-178>

Corporate Organization Letters:

- 111 Delegation of Authority - Real Estate
<https://w3.ibm.com/ibm/corporate-documents/corporate-directives/corporate-organization-letters/col-111>
- 131 Delegation of Authority – Procurement
<https://w3.ibm.com/ibm/corporate-documents/corporate-directives/corporate-organization-letters/col-131>

GRE Organization:

- <https://w3.ibm.com/w3publisher/ibm-global-real-estate/our-team>

GRE Process Information:

- <https://w3.ibm.com/w3publisher/ibm-global-real-estate/what-we-do>

Corporate Policy Letters:

- w3.ibm.com/ibm/corporate-documents/corporate-directives/corporate-policies/cp-107

Other:

- Corporate Policy 127: IBM's Culture of Health and Safety
<https://w3.ibm.com/ibm/corporate-documents/corporate-directives/corporate-policies/cp-127>
- IBM Safety Standards
<https://w3.ibm.com/w3publisher/ibm-global-safety/safety-standards>

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PLANNING : Reference Material (Continued)

- Insurance Company Inspection Reports
- Engineering Reports
- Site Emergency Plan (See Objectives Statement prior to requesting information on site emergency plans. GRE is only a participant on the team and does not own it. It is owned by the Site Senior Location Executive and IBM Security.)
- Business Conduct Guidelines
 - Dealing with Suppliers (Ch. 5.3)
- IBM Procurement Policies & Practices
- <https://www-03.ibm.com/procurement/proweb.nsf/ContentDocsByTitle/United+States~Policies+and+procedures>
- IBM Global Procurement Contractor Safety
- <https://www.ibm.com/procurement/sicsg>
- IBM Corporate Security Policy (ICSP)
- <https://w3.ibm.com/w3publisher/icsp/ibm-corporate-security-policy>

NOTE: Associated environmental tests are to be performed as noted in Key Control Question 11 within this audit program.

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
An individual with responsibilities which would permit the initiation and concealment of irregular activity, without detection, could result in loss to IBM.	Adequate SOD should minimize the risk of fraud.	Review the responsibilities assigned in the areas of purchasing, inventory management and maintenance/ inspection for possible SOD exposures. Verify that the following tasks are not performed by the same individual: purchasers ordering and verifying receipt; individual responsible for tracking the inventory is performing the inventory verification; and repairs requested, performed, and verified by the same individual.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Lease Transaction Management

Objective:

Validate if IBM enters into lease agreements based on proper authorization including approved business cases and funding, reviewed by legal, and/or environmental if required, understanding of business requirements and alternatives, and that leases are properly executed.

Risk/Exposure:

Failure to control the real estate lease process, landlord due diligence, and lease execution, could result in excess expenditures, financial and legal liabilities, and long-term commitments not in line with IBM's business requirements.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Lease Transaction Management

Primary Test: Leasing Approvals and Execution (LM001.P)

Objective:

Validate if IBM enters into lease agreements based on proper authorization, including responsible, accountable, consulted, and informed (RACI) matrix, approved business cases and funding, legal and/or environmental review if required, and understanding of business requirements and alternatives, and if leases are properly executed and administered based on the terms of the lease/contract.

Approach:

Obtain a listing of new, renewed, and amended leases for the audit period and select a sample for review.

- To complete data mining, leases sampled should include large dollar amounts.

1. Was there a documented request for real estate requirement?
2. Is there evidence of financial approval from the appropriate Real Estate Controller / Operating Unit Chief Financial Officer / Group Executive / IBM Controller / Chief Financial Officer / Chief Executive Officer / IBM Board of Directors as required for the acquisition or new and renewed leases in accordance with Corporate Organization Letter 111 and GRE internal requirements?
3. If a broker was used:
 - a. Was there a letter of authorization or contract authorizing the broker to act on IBM's behalf?
 - b. Was there a documented statement of requirements?
 - c. Were compensation rates defined in the contract?
 - d. Was a business case prepared which provided quantitative and qualitative analysis of various real estate alternatives to meet a defined requirement?

Note: Use of other than an On-call broker requires the approval of the GRE Geo Lease Manager with notification to Geography Director.

4. Were the lease/amendments reviewed by legal?
 - a. Was ethics and anti-bribery language included in all new leases?

Note: 1) The suggested language may have been modified / omitted due to local laws and/or landlord objection. If missing, the reason should have been documented.

Note: 2) GRE Geo Lease Manager and GRE Senior Geo Manager approval is required to omit this language if allowed by local law.

5. Was the environmental site assessment or real estate property screen (where required) performed in accordance with IBM requirements? (Reference IBM CI ENV207 Environmental Due Diligence for Business Transactions).
6. Was the lease/amendment executed by an authorized individual and were the terms consistent with what was approved?
7. Was IBM Global Safety and IBM Security approval obtained prior to occupancy of the new space?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Lease Transaction Management

Primary Test: Leasing Approvals and Execution (LM001.P)

(Continued)

8. Was the IBM GRE due diligence assessment (landlord and third-party screening) completed prior to execution of a new lease or renewal of an existing lease (other than exercising an existing lease option)?

Note: The Trust and Compliance due diligence assessment is required in all countries with varying levels of assessment required. Effective January 2018, leases for these locations that have been in effect for more than 3 years, the Landlord (LL) is to be sent the LL Questionnaire for completion.

9. In the event a Third Party, in lieu of the Landlord, is being considered for funding the fit up of the leased premises, was IBM Treasury and Accounting contacted for guidance.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Leased or Owned Space Disposition (part of Lease Transaction Management)

Objective:

Validate if leased or owned space disposition activity is based on understanding of business requirements and alternatives, proper authorization (RACI matrix), and executed/managed in accordance with the negotiated and agreed-to terms.

Risk/Exposure:

Failure to control space disposition could result in under-utilized facilities and excess expenditures.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Leased or Owned Space Disposition (part of Lease Transaction Management)

Secondary Test: Sublease / Space Disposition (LO001.S)

Objective:

Validate if leased or owned space disposition activity is based on understanding of business requirements and alternatives, proper authorization, and executed/managed in accordance with the negotiated and agreed-to terms.

Approach:

Review the GRE Global process for identifying surplus space.

Obtain a listing of current subleases with non-IBM tenants and select a sample for review.

For data mining purposes, subleases sampled should include existing, new, and amended subleases.

1. Was the space identified as surplus and approved for sublease?
2. If a broker represented IBM, is a copy of the Broker Agreement/Broker Selection Criteria on file?
3. Determine if the financial status/credit worthiness review was reviewed for the potential sub-tenants.
4. Have the consent to sublease provisions of the prime lease been satisfied?
5. Was the sublease document reviewed by legal?
6. Review the process for receiving sublease income. Select a sample of receipts and validate that the amount received was consistent with the terms of the lease.
7. Is there a process in place for addressing late tenant payments which includes management reporting and timely follow-ups for collections?
8. Are actions documented to resolve accounts receivable delinquencies in a timely manner? Is there any litigation or disputes underway with any external tenants?
9. Is there a process to write off delinquent accounts?
10. Are sub-tenants charged for pro-rata share of taxes and operating expenses if required in the sublease document?
11. If required, are sub-tenants billed appropriately for additional services?
12. What is the process used to track sublease activity?
13. If an application/spreadsheet is used, are appropriate change controls with separation of duties in place?
14. If a buyout was executed,
 - a. Was it in accordance with the terms of the lease?
 - b. Was a business case reviewed with financial assessment?
 - c. Was the transaction properly approved?
 - d. Was the payment made to the landlord and within the parameters of the negotiated and approved terms? Were cash deposits returned?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Real Estate Asset Sales and Purchases (part of Lease Transaction Management)

Objective:

Validate if real estate asset sales and purchases are based on understanding of business requirements and alternatives, proper authorization (RACI matrix), and executed/managed in accordance with the negotiated and agreed-to terms.

Risk/Exposure:

Inadequate controls over the sale or purchase of real estate assets could lead to over- or under-utilized facilities and transactions that are not in accordance with IBM's business strategy.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Real Estate Asset Sales and Purchases (part of Lease Transaction Management)

Primary Test: Real Estate Asset Sales and Purchases (RE001.P)

Objective:

Validate if real estate sales and purchases are based on understanding of business requirements and alternatives, proper authorization (RACI matrix), and executed/managed in accordance with the negotiated and agreed-to terms.

Approach:

Verify for real estate asset sales if:

- It was properly approved in accordance with Corporate Organization Letter 111 prior to the transaction being completed.
- There was an appraisal on file.
- Legal documents (such as: sales agreement and closing statement) were properly authorized and within parameters of the approval.
- A Real Estate Broker was used, a copy of the broker agreement/ broker selection criteria documentation was on file.
- An environmental study was required for this transaction (reference CI ENV207 Environmental Due Diligence for Business Transactions).
- The completed transaction had been reviewed by Chief Sustainability Office prior to execution.
- Treasury was notified of the amount to be received and was confirmation of receipt provided.

Verify for real estate asset purchases, if:

- Approvals obtained were in accordance with Corporate Organization Letter 111 prior to the transaction being completed.
- Legal documents (such as: purchase agreement and closing statement) were properly authorized and within the parameters of the approval.
- An environmental study was required for this transaction (reference CI ENV207 Environmental Due Diligence for Business Transactions).
- The pending transaction was reviewed by Chief Sustainability Office.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Lease Administration Management

Objective:

Validate that leases are properly administered based on the terms of the lease/contract and reported to Accounting as appropriate.

Risk/Exposure:

Failure to appropriately manage the lease administration process, payments, and reporting could result in excess expenditures, financial / legal liabilities, and misstatement of financials.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Lease Administration Management

Primary Test: Leasing Administration (LA001.P)

Objective:

Validate real estate payments are appropriately approved prior to payment and released in a timely manner.

Approach:

Obtain a listing of current leases including new, renewed, and amended and select a sample for review.

To complete data mining, leases sampled should include large dollar amounts.

1. What is the process used to track lease activity? If an application/spreadsheet is used, are appropriate change controls with separation of duties in place?
2. Was Accounting informed of any unusual real estate payment terms including scheduled rent increases and/or rent holidays?
3. Verify that there was a process to validate or reconcile the rent payments to ensure the correct amount was paid?
4. Select a sample of lease payments and test to determine if the amount paid was in accordance with the terms of the lease agreement.
5. Were the payments made in accordance with the lease terms?
6. Were there any late rental payments? Did IBM incur any landlord fees or penalties?
7. Did management take timely action to address late payments?
8. Were payments processed through the appropriate accounts payable process?
9. If operating expenses are billed by the landlord separately from the rent payment, was the payment properly validated and authorized?
10. If the lease requires a reconciliation of landlord operating expenses, check the following:
 - a. Is there a process in place for IBM to validate landlord operating expenses?
 - b. If payment was due to the landlord, was it properly validated, authorized, and paid in accordance with the lease terms?
 - c. If a credit was due to IBM, was payment or credit received from the landlord in a timely fashion?
 - d. Are appropriate controls in place relative to the check receipt and forwarding to Accounting?
11. Where the lease provides for a lump sum credit, rent abatement, landlord contribution (Tenant Improvement Allowance) or unusual lease terms, have appropriate steps been taken to ensure credits have been received?
12. If security deposits are required for leases, are there enough controls in place to ensure proper recording and tracking, and timely return upon lease expiration?
13. Did GRE provide timely lease information/notification to Accounting for all new, renewed, amended, and extended lease agreements, with specific information required for proper lease accounting?

CONTROL ASSESSMENT QUESTIONS

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Key Control Question: 5. Design and Construction

Objective:

Validate if design and construction projects are adequately managed, properly authorized, and completed according to the specification at the best value to IBM.

Risk/Exposure:

Inadequate controls over the design and construction project management process could result in excess expenditures, inferior design or construction, and financial and legal liabilities.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Design and Construction

Primary Test: Design and Construction Projects (DC001.P)

Objective:

Validate if design and construction projects are adequately managed, properly authorized, and completed according to the specification at the best value to IBM.

Approach:

- Review the local design and construction process as well as the method for tracking project activity/costs.
- Obtain a listing of projects completed and those initiated during the audit period.

Design and Construction:

1. Was the project properly approved in accordance with Corporate Organization Letter 111 and GRE Internal Projects and Leasing Approvals Delegations approval requirements?
2. Verify that work did not commence prior to funding approval.
3. Is there an executed contract, written authorization, and PO issued by Procurement? If applicable, review the local GRE process that is used to select appropriate Global supplier.
4. Verify that capital and expense dollars have been properly identified and are tracked accordingly.
5. Are project modifications and change orders approved as required?
6. Did an IBM project manager or appropriate party verify and annotate that the project was completed in accordance with local requirements and IBM Security and Enterprise Health (EH)?
7. Was the project completed in accordance with contractual specifications?
8. If required, were the following documents received?
 - a. Release of liens
 - b. Tax affidavits
 - c. Guarantee and warranties
 - d. Transfer of title
 - e. As-built drawings
 - f. Permits/certificates (i.e., Certificate of Occupancy, Notice of Compliance etc.)
9. Was the project completed within the approved dollar amount and closed out timely?
 - a. Reconciliation of project cost was completed.
 - b. Was the final payment made to the vendor what was authorized?
 - c. Was the final project cost within approved budget?
 - d. Was the formal Project Close Out completed per requirements?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Design and Construction

Primary Test: Design and Construction Projects (DC001.P)

(Continued)

10. Prior to occupying the space, did IBM confirm all required permits/certificates (i.e., Certificate of Occupancy, Notice of Compliance, etc.) were obtained from the local government as appropriate?
11. Documentation showing that the expenditures related to this project hit the correct general ledger and account.
12. If this project was funded by another business unit, confirm charges hit the correct account codes of the business unit.
13. Did the appropriate IBM requestor/employee validate the charges prior to the invoice payment verification notice (IPVN) due date?
14. Did the requester verify payment according to the contractual terms and conditions prior to authorizing payment to the vendor for all invoices related to the project?
15. If the value of the invoice was incorrect, was Accounts Payable notified to cancel the payment to the supplier or was a credit invoice processed?
16. Where applicable, was necessary review performed and were required approvals obtained from fire protection perspective?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Building Equipment Maintenance and Operations

Objective:

Validate if a framework exists for planning, scheduling, and prioritizing building and equipment maintenance to ensure that IBM's facilities are safe, secure, and in accordance with procedures and guidelines. Validate if adequate controls are exercised to protect IBM's assets (i.e., maintenance equipment, materials, and supplies), and inventory control disciplines have been implemented to ensure the proper use and control of these items.

NOTE: Associated environmental tests are to be performed as noted in Key Control Question 10 within this audit program.

Risk/Exposure:

Insufficient enforcement of planning, scheduling, and prioritizing building and equipment maintenance could lead to disruption in the operation and potential safety exposures. Failure to have control and accountability of assets (i.e., maintenance equipment, materials, and supplies) coupled with insufficient inventory control disciplines could result in failure to detect loss, improper financial reporting, and potential tax exposures.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Building Equipment Maintenance and Operations

Primary Test: Building Maintenance and Operations (BE001.P)

Note: Associated environmental tests are to be performed as noted in Key Control Question 10 within this audit program.

Objective:

Validate if a framework exists for planning, scheduling, and prioritizing building and equipment maintenance to ensure that IBM's facilities are safe, secure, and in accordance with procedures and guidelines.

Approach:

Review policies and procedures at facilities where GRE has responsibility for these services and verify that:

1. The preventative maintenance (PM) program is in accordance with established procedures and guidelines. The program should ensure that facilities are clean and safe, and building equipment is maintained in accordance with manufacture requirements.
2. Management's methods for determining what items require preventative maintenance is adequate.
3. There are current techniques for planning, scheduling, and prioritizing which services are adequate for the orderly management and control of facility work projects.
4. Effectiveness of the contractor program
 - a. Proper oversight of facility management (FM) contractors
 - b. Means to monitor performance of FM contractors
5. Is there a method of ensuring compliance with IBM and regulatory requirements?
 - a. Periodic self-assessments
 - b. Tracking of deviations to closure
6. Is there a method to report and track facility related requests that would ensure timely closure of all items?
7. Facility Projects
NOTE: Generally valued at less than \$200,000 and involve routine office renovation/relocation of nonstructural building partitions, minimum electrical and mechanical changes, general maintenance and repair work. Facility Projects do not include design effort for completion.

Select a sample of facility projects and verify that there is a means of authorizing and validating work performed by the Facility Management supplier.

- a. Appropriate approvals were received prior to commencement of work.
- b. Was there a method for tracking the entire projects expenditures?
 - i. Was a cost estimate prepared?
 - ii. Were plan-to-actual costs tracked?
 - iii. Was the project verified as properly completed?
 - iv. Were charges properly validated?
- c. Did the facility project manager consider if the job would have an environmental impact and if so, did they complete the Environmental Program Initiation Checklist (EPIC) form and obtain necessary approval from the local environmental contact?

Note: If such services are provided by a subcontractor, include 'Contract Management' control questions within this section to complete the testing.

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Building Equipment Maintenance and Operations

Primary Test: Assets (BE002.P)

Objective:

Validate if adequate controls are exercised to protect IBM's assets (i.e., maintenance equipment, materials, and supplies), and inventory control disciplines have been implemented to ensure the proper use and control of these items.

Approach:

1. Review policies and procedures and verify that:
 - a. Adequate control is exercised over the ordering, issuance, use, and safeguarding of maintenance equipment, materials, and supplies.
 - b. Periodic, physical inventories are performed, and out-of-line situations are addressed.
 - c. Approval requirements were met for any write-offs or sale of Furniture and Fixtures (F&F), Leasehold Improvements (LHI), Machinery and Equipment (M&E), I/T Network and Fine and Facility Artwork.
2. For unique assets (i.e., power tools, vehicles, test equipment, etc.) at the site that are not tracked by the property tracking system, review the control requirements.
3. Select a sample of assets and physically verify physical existence.
 - a. Match serial numbers from assets to the local inventory records when inventories are required by Fixed Asset Accounting requirements and/or IBM vendor contract.

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Contract Management

Objective:

Validate if contracts include detailed scopes of work, appropriate business and legal clauses, definition of supplier performance measurements, and required supporting documentation which demonstrate an effectively managed program. Determine if the terms and conditions are adequate to deliver the business objectives of the contracted relationship.

Risk/Exposure:

If terms and conditions and the scope of work are not clearly stated or included, IBM could be subject to prolonged disputes with suppliers, potential negative impacts to continuity of supply, higher costs to IBM, supplier relations problems, and loss of IBM assets. In addition, if proprietary information is not carefully controlled, IBM could lose marketplace advantage.

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Contract Management

Primary Test: Contract Management (CM001.P)

Objective:

Validate if contracts include detailed scopes of work and/or Service Level Agreements (SLAs), appropriate business and legal clauses, definition of supplier performance measurements, and required supporting documentation which demonstrate an effectively managed program.

Approach:

Develop a sample of key contracts and purchase orders.

For data mining purposes, areas of focus to consider are:

- Large dollar suppliers
- Sole or single source contracts
- Contracts for extended periods of time
- Contracts that had a high rate of amendments
- Time & Material contracts

1. Determine that the contract execution process properly performed the following:
 - a. That proper approvals were obtained.
 - b. That contract was executed prior to the commencement of work (i.e., purchase order escapes).
 - c. That the contract contained a well-defined statement of work and/or SLAs.
 - d. That Global Procurement was informed of any unique requirements or terms and conditions.
 - e. That assets transferred between supplier and IBM were controlled.
2. Review the contract terms and conditions to ensure the following (applicable to contracts placed by GRE):
 - a. Proper treatment of IBM confidential and sensitive data including establishment of approved confidentiality agreement.
 - b. An audit-privilege clause.
 - c. A clause to allow subcontracting activity.
 - d. Statement for terminations or breach of contract.
 - e. Indemnification.
 - f. Control of assets transferred between supplier and IBM is clear.
 - g. Purchase order rates equal the contract terms and commitment levels were not exceeded.
 - h. Government, state, local laws and regulations have been considered.
3. Review amendments, modifications, and supplements to ensure all have been properly documented and approved by affected parties (IBM and vendor).
 - a. Determine if controls were in place to adequately document and monitor all changes to contracts or purchase order.
 - b. Documentation should include details of the change, associated cost, description of the business purpose for the change and approvals.
4. Determine if the supplier has subcontracted any responsibility.
 - a. Verify that IBM management monitors subcontracting activity or as defined in the contract.

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Contract Management

Primary Test: Contract Management (CM001.P)

(Continued)

5. If the audit clause has been exercised, were the results reviewed and, if needed, appropriate action plans implemented?
6. Determine if the supplier has on-line access to IBM systems and verify that access is authorized and controlled.
7. Determine if vendor badge access is properly controlled and access that is no longer required is removed.
8. Review management's process for validating contract deliverables and determine if supplier is providing goods and services required in the contract. REBase (a custom application platform and data warehouse supporting several critical processes and programs for GRE) SOW Validation/Supplier Performance Module may be used where appropriate.
 - a. Does Management receive measurement reports?
 - b. How does Management ensure all required goods and services are provided per the terms of the contract?
9. Review performance data for the last three months by obtaining a report from REBase SOW Validation/Supplier Performance module or Maximo where appropriate, and test for the following:
 - a. That unsatisfactory measurement results (if any) were analyzed, that appropriate action plans were developed to resolve issues, and action plans were being tracked to closure.
 - b. Was Global Procurement notified of any unresolved unsatisfactory performance issues?

Note: REBase SOW Validation/Supplier Performance is an application that is used to manage contracts with key service providers (i.e., Facility Management suppliers). Therefore, it does not contain all contracts with suppliers. It may also not be deployed in all countries.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 8. Disbursements

Objective:

Validate if disbursements were in compliance with the contract, valid, verified, appropriately approved, and completed in a timely manner. This includes review of the receipt of goods and services. Validate if controls over the disbursement process are adequate and allow for the detection or prevention of financial loss.

Risk/Exposure:

Incomplete, inaccurate, or untimely disbursements could result in customer dissatisfaction and financial loss to IBM.

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 8. Disbursements

Primary Test: Disbursements (DS001.P)

Objective:

Validate if disbursements were in compliance with the contract, valid, verified, appropriately approved, and completed in a timely manner. This includes review of the receipt of goods and services.

Approach:

1. Request management to provide documentation of approval limits.
2. Select a sample of supplier invoices, by pulling a system generated universe report. REBase Invoice Tracking Tool may be used to pull the universe in countries where it has been deployed (sample should include time and materials and check request disbursements) and determine that and Application Payment Utility (APU) transactions for the audit period.
 - a. Expenditures were for a valid business purpose.
 - b. Expenditures were in compliance with the contract/PO and do not exceed authorized amounts. Review if Procurement processes were bypassed where applicable.
 - c. Supporting documentation for the receipt of goods and services exists (i.e., packing slips, proof of delivery, physical inspection and/or verification).
 - d. For time and material invoices, verify that hours billed, and materials used were validated. Reconcile time sheets to IBM documents and that the hours billed equaled the hours worked.
 - e. Authorization is timely and in accordance with approval limits.
 - f. Expenses are charged to the proper account.
 - g. For situations involving credit notes and late payment fees, is management taking prompt action to resolve the issue with the vendor and establish requirements to prevent future issues.

Note: REBase Invoice Tracking Tool is used to validate receipt of goods and services for disbursements. It may not be deployed in all countries.

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 8. Disbursements

Primary Test: Disbursement Reconciliation (DS002.P)

Objective:

Validate if controls over the disbursement process were adequate and allowed for the detection or prevention of financial losses.

Approach:

1. Determine what key reconciliations are performed to control the disbursement process.
2. Select a sample of reconciliations and test for the following attributes:
 - a. Complete and appropriate review.
 - b. Agrees with supporting documentation.
 - c. Open items are aged and resolved.

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 9. Financial Management Reporting Measurements

Objective:

Validate if a process exists which ensures that financial data (e.g., operating statements, general ledger, and executive summary reports) provided to management is accurate, timely, reconciled, and enhances management's ability to make sound financial decisions.

Risk/Exposure:

Financial management reports which are inaccurate and untimely inhibit management's ability to make financial decisions.

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 9. Financial Management Reporting Measurements

Secondary Test: Financial Management Reporting (FM001.S)

Objective:

Validate if a process exists which ensures that financial data (e.g., operating statements, general ledger, and executive summary reports) provided to management is accurate, timely, reconciled, and enhances management's ability to make sound financial decisions.

Approach:

Obtain a listing of all management reports for the audit period.

1. Verify that management receives reports on a timely basis.
2. Verify that management reports are accurate:
 - a. Review the operating budget statement. Verify that expenses are reflected in the appropriate accounts and that the total number of employees and related expenses are accurately recorded and tracked against plan data. Reconcile to the executive summary report.
 - b. Review financial measurement objectives to determine if objectives have been attained. Verify that 'missed' objectives are clearly identified and action plans established. Reconcile to the executive summary report.
 - c. Review the tenant billing report (Occupancy charges to IBM Business Units) to ensure accuracy and timeliness of billings. Reconcile to the executive summary report.

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Objective:

Validate if the guidelines and policies as established by the IBM Global Safety, with relation to local country and IBM global compliance (IBM Safety Standards), are being executed and monitored by the GRE team at all IBM locations.

Risk/Exposure:

Failure to comply with legal, safety requirements, and insufficient enforcement of guidelines and policies in accordance with local country and IBM guidelines combined with an inadequate process to monitor and address issues could lead to employee safety issues resulting in employee dissatisfaction, impact to IBM's image, and financial loss.

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Primary Test: Accident and Incident Prevention (HS001.P)

Note: Reference Information - IBM Safety Standards: Accident & Near Miss Management

Objective:

To validate that there are programs in place to prevent facility-related employee accidents and near misses and to ensure there is a maintenance program to ensure that any facility-related issues are promptly corrected.

Approach:

Review the location's facility practices to ensure the building is managed to prevent accidents and incidents and review the location's methodology for handling facility-related maintenance orders.

1. Are there practices in place to ensure that the facility is maintained to prevent employee slips, trips, and falls and that the facility egress paths and stairwells are adequately illuminated and maintained to allow for safe emergency exit from the facility, to include review items, such as:
 - a. Maintenance of walking surfaces (internal and external to the building and under the control of IBM or the landlord) via the elimination of uneven walking surface transitions, frayed carpeting, uneven/missing raised floor tiles, openings/holes/cracks/depressions/projections in walking surfaces or curbing, slippery/wet/icy walking surfaces, and any potential tripping hazard and
 - b. Maintenance of stairwells and stairs (internal and external to building and under the control of IBM or the landlord) via the elimination of broken stair treads, improper rail guards, improper or inadequate handrails, slippery/wet/icy steps, and any potential tripping hazards, and
 - c. Contracted inspection and maintenance of escalators/elevators to prevent potential employee injury?
2. Is there a practice in place to protect employees from slips, trips, and falls (such as cones, stanchions, hazard tape) during activities such as: wet-method floor cleaning, maintenance activities, demolition/construction activities, work beneath raised floor tiles, inclement weather, etc.?
3. Is there a practice in-place for the reporting and tracking of facility-related requests to ensure that any needed facility repairs are completed in a timely manner?

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Primary Test: Fire and Life Safety (HS002.P)

Note: Reference Information - IBM Safety Standards: Fire and Life Safety under Building Design and Operations

Objective:

To validate that the location has implemented an effective program to detect, annunciate, and suppress fires, ensure life safety, and to comply with IBM insurance company and regulatory requirements.

Approach:

Review the fire/life safety program and related documentation.

1. Building Design – Verify that there is a practice in place to ensure that all existing buildings, modifications to existing buildings, new buildings, acquisitions, and new leases meet local fire and life safety regulations, building codes, and IBM Fire and Life Safety Fundamentals. Should there be a conflict, the more stringent requirement shall take precedence.
2. Maintenance – Verify there is an inspection/test and maintenance program, as specified in local/national codes and insurance schedules, for the following:
 - Fire pumps and controls
 - Fire doors/stairwell doors (including closers)
 - Fire dampers
 - Fire extinguishers or suppressant systems
 - Fire protection initiating devices, notification devices, and fire detection panels
 - Sprinkler system and control valves as per Corporate Finance Instruction FIN 178
 - Public address system and other emergency communication equipment, if required as part of the life safety or fire alarm system
 - Exit signage
 - Emergency lighting and associated batteries and/or life safety generators
 - Other fire and life safety equipment
3. System Impairment – When it is necessary to temporarily disable any building fire or life safety feature designed to protect building occupants, the risks should be assessed and, where necessary, contingency measures introduced. Are there controls established to prevent unauthorized impairment of essential fire safety and life safety equipment?
4. Fire Prevention – Is there a fire prevention program implemented to address work practices that minimize the likelihood and consequences of fire (e.g., housekeeping, materials storage, etc.)?

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Primary Test: Contractor Safety (HS003.P)

Note: Reference Information – IBM Safety Standards: Contractor Safety

Objective:

To validate that effective practices had been implemented to ensure contractor work practices are in accordance with IBM requirements, regulatory requirements, and the contract terms and conditions to ensure that the well-being of IBM employees, customers, and visitors is not compromised. Contractors include all facility service-related suppliers on the site regardless of trade.

Approach:

Review the contractor safety program and related documentation and validate that the program is functioning as required.

1. Have contractors being considered for the performance of High-Risk Work (as defined in the EH IBM Global Contractor Safety & Environmental Guide) been evaluated to determine if they have the necessary skills and experience to perform the work safely? Is High Risk Work only assigned to contractors who have been evaluated and approved?
2. Was a representative designated to act as the interface between IBM and the contractor? (Note the representative may be the Requestor of Service (ROS), another IBM employee, or a representative of another contractor company.)
3. Does a practice exist to ensure that all contractors are aware of:
 - a. Unique hazards associated with IBM premises/activities
 - b. IBM safety requirements as detailed in Contractor Guides
 - c. Relevant local emergency procedures
 - d. Requirement to notify IBM of accidents/illnesses/incidents occurring while carrying out work for IBM?
4. Does a practice exist to ensure IBM is informed of potential hazards to IBM employees associated with the contractor's activities?
5. Is appropriate oversight provided for contract operations, commensurate with the risks inherent in the activity to ensure the contractor is meeting contract, IBM, and regulatory requirements? Were deviations promptly addressed?
6. Are requirements placed on contracted organizations to ensure that sub-contract organizations are informed of IBM requirements and necessary safety information?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Primary Test: Building Maintenance (HS004.P)

Note: Reference Information - IBM Safety Standards: Building Maintenance and Operations under Building Design and Operations

This section is applicable to IBM and/or contractor employees performing building maintenance activities.

Objective:

Building maintenance activities can potentially expose building occupants to hazards. These include, but are not limited to: working at heights, the use of special purpose equipment, and activities such as moving equipment and tools through occupied areas. Validate that the following elements, together with applicable legislation, are mitigating such risks adequately.

Approach:

NOTE: This section is applicable to IBM and/or contractor employees performing building maintenance activities.

Review the IBM and/or Contractor maintenance programs and related documentation to validate compliance.

General

1. Is building maintenance work assessed for risk, both to those directly involved and to other building users (IBM employees, visitors, and other trades persons not directly involved in the activity)?
2. Are building maintenance work methods and timing of work scheduled to minimize risk to building occupants? Are activities and scheduling communicated to building occupants, as appropriate?
3. Is building maintenance work that poses a potential risk to building occupants segregated via the use of barriers, warning signs, cones, hazard tape, or other methods?
4. Where building maintenance work activities pose a high level of risk, were work permits used (e.g., hot work permit, confined space entry, etc.)?
5. Are periodic reviews/inspections conducted to ensure safe work practices are being employed?

Lockout/Tagout (generic)

Note: Where specific regulatory requirements exist for a Lockout/Tagout Program; the program shall be audited for compliance with the regulation (e.g., U.S. Occupational Safety and Health Administration (OSHA) Lockout/Tagout Standard).

1. Is there a documented program in place for the control of hazardous energy to ensure that employees and contractors are not exposed to unexpected energization or start-up of equipment or the release of stored energy during service, maintenance, repair, renovation, or installation activities?
2. Validate that employees/contractors have been authorized and trained to perform lockout/tagout procedures and affected and other persons are made aware of the location's lockout/tagout procedures.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Primary Test: Building Maintenance (HS004.P)

(Continued)

3. Validate that the lockout/tagout procedures are being followed including the following:
 - a. Identification of equipment affected by the procedure
 - b. Steps for isolating hazardous energies
 - c. Steps and responsibilities for placing, removing, and transferring lockout/tagout devices
 - d. Testing for verification of lockout/tagout effectiveness
 - e. Steps for returning equipment to normal operation

Electrical Safety

Review the IBM/Contractor electrical safety program and related documentation and validate that the program includes the following:

1. Procedures exist which define electrical safe work practices for hazardous voltages above 50 volts.
2. Individuals qualified to complete various types of electrical work have been identified, appropriately trained, and training has been documented.
3. A practice has been established to confirm that work with hazardous electrical energy, other than troubleshooting, diagnostics, and calibration activities, meets the established criteria, including:
 - a. Notification to management in the affected area where the work will take place
 - b. Documented assessments of the rationale for performing work on energized equipment for purposes other than troubleshooting, diagnostics, and calibration activities.
4. Switching and grounding procedures have been used by employees servicing generation, transmission, and distribution systems (high voltage).
5. Electrical protective equipment is stored, maintained, tested, and used consistent with applicable standards.
6. Electrical disconnects are provided to safely disconnect and isolate equipment from its power source.
7. Adequate facility electrical outlets are installed to eliminate the permanent use of extension cords.
8. Ground Fault Circuit Interrupters (GFCIs) are required on circuits servicing outlets in damp, wet, or outdoor locations, and in any other location where individuals using electrical equipment could become well grounded. GFCIs are tested according to manufacturer's recommended frequency.

Confined Spaces (generic)

Note: Where specific regulatory requirements exist for a Confined Space Entry Program; the program shall be audited for compliance with the regulation (e.g., U.S. OSHA Confined Space Standard).

1. Does a practice exist to adequately identify and label the location confined spaces?
2. Are specific risks considered and addressed by a competent person to ensure a safe system of work before entry, including a permitting system where a higher level of control is necessary?
3. Is a provision made for the atmospheric monitoring of confined spaces, where necessary?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Primary Test: Building Maintenance (HS004.P)

(Continued)

4. Is adequate information, instruction, and training provided as appropriate for the risks?
5. Are planned provisions available for emergency response?

Mechanical Safety

1. Review programs to ensure facility-related industrial machinery is installed and maintained in a safe and reliable manner to prevent employee injuries (e.g., machine guarding)?

Safety Training

1. Individuals involved in completing confined space entry permits, entry, and rescue had been properly trained.
2. Individuals required to wear personal protective equipment had been properly trained.
3. Training regarding the location and treatment of asbestos had been provided to individuals having exposures to asbestos.
4. All individuals authorized to perform lockout/tagout had been appropriately trained. Validate that certification of training was in place for employees in authorized, affected and other categories.
5. Individuals qualified to complete various types of electrical work had been identified, appropriately trained, and training had been documented.
6. Powered industrial vehicles were operated only by licensed and qualified employees and that refresher training and re-licensing was performed.
7. Hazard Communication training has been provided to individuals using chemicals for facility-related purposes.
8. All other applicable, required safety training had been completed and documented.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Secondary Test: Emergency Response (HS005.S)

Note: Reference Information - IBM Corporate Security Policy (ICSP) and IBM Safety Standards: Emergency Preparedness and Response

Objective:

In the event of an emergency, it is essential that employees know what to do to avoid danger and secure their safety. Validate that adequate control procedures exist.

Note: The Senior Location Executive (SLE) is accountable for conformance to the requirements of this standard.

Approach:

1. Does GRE participate, when requested by the SLE, on the crisis management team?
2. Does GRE participate with the senior Location Executive (SLE), as requested, in the conduction of the evacuation drills to ensure that all facility related equipment is operational (e.g., fire doors close and latch, manual pull stations are operational, alarm strobes are functioning, alarms are audible in all areas of the facility, badge readers open upon alarm activation, elevators recall to the correct floor, elevator emergency phones work, etc.)?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Secondary Test: Materials Handling (HS006.S)

Note: Reference Information - IBM Safety Standards: Manual Handling under Human Factors and Ergonomics

Objective:

To validate that effective manual handling practices had been implemented to ensure that IBM employees and contractors are not injured on the job.

Approach:

Review the manual handling safety program and related documentation.

1. Is general information on manual handling made available to IBM employees and contractors, as applicable?
2. Are activities where manual handling are foreseeable assessed for risk? Control measures must be specified where needed including avoidance, mechanical assistance, and alternative working strategies to minimize risks.
3. Are formal manual handling training programs established, delivered, and documented where needed in accordance with risk assessments? Appropriate training for mechanical lifts must be provided.
4. Is consideration given to individual risk factors where needed including disabilities, medical conditions, pregnancy?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Primary Test: Indoor Air Quality (HS007.P)

Note: Reference Information - IBM Safety Standards: Indoor Air Quality under Building Design and Operations

Objective:

To validate that the location has an effective indoor air quality program to protect the health of IBM and contractor employees.

Approach:

Review program to ensure effective implementation:

1. Where IBM has responsibility for the operation and maintenance of the location's heating, ventilation, and air conditioning (HVAC) systems, is there a site indoor air quality (IAQ) protection strategy?
2. Are preventive maintenance actions being taken to ensure program objectives are being met?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Secondary Test: Asbestos Program (HS008.S)

Note: Reference Information - IBM Safety Standards: Asbestos under Building Design and Operations

Objective:

Building materials may contain asbestos which, if disturbed or allowed to deteriorate, may release potentially harmful fibers. Validate that an appropriate asbestos control program exists that minimizes health risks and meets regulatory obligations.

Approach:

1. Do IBM owned and controlled premises have a practice to identify and label (where feasible) asbestos containing material (ACM) and presumed asbestos containing material (PACM) prior to disturbance or contractor/employee access?
2. Is damaged asbestos containing material abated (e.g., removal, enclosure, repair, and encapsulate) under controlled conditions? Removal must also be considered during major refits. Abatement may only be undertaken by persons qualified to perform the work and in accordance with relevant legislation.
3. Is remaining asbestos containing material subject to strict management, including periodic inspection and labeling (where feasible)?
4. Is a practice in place to notify the presence of asbestos to those building contractors or others who may disturb the material in the course of carrying out their work activities?
5. Are asbestos related records retained as required by IBM's Worldwide Records Management Plan?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Primary Test: Chemical Safety (HS009.P)

Note: Reference Information - IBM Safety Standards: Chemical Safety under Hazardous Agents and Controls

Objective:

To validate that IBM employees and/or contractors, performing facility-related work are provided with information about the identities and hazards of the chemicals to which they are exposed and with information regarding protective measures available to prevent adverse health effects from occurring.

Approach:

1. Has a Hazard Communication program been developed for IBM employees using chemicals to perform facility-related work and do contractors have a program in place for their employees' using chemicals for facility-related work?
2. Is there a practice in place to identify the need for the design and installation of emergency eyewashes and showers? Is there a program in place for the testing and maintenance of emergency eyewashes and showers?
3. Is there a practice to ensure that chemicals are segregated, stored, and used in accordance with requirements?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Secondary Test: Cafeteria and Food Safety (HS010.S)

Note: Reference Information – IBM Safety Standards / GRE Checklist: Cafeteria and Food Safety under Food and Potable Water Safety

Objective:

To validate that the health and well-being of IBM employees, contractors, and visitors is not adversely impacted via the consumption of food and drink from the cafeteria and vending areas.

Approach:

1. Review vendor food service contract and validate that services are being provided in accordance with the contract.
2. Review that applicable licenses/permits to operate are available and current.
3. Review recent assessments (vendor self-assessments, governmental, IBM, third party inspectors) to validate the cafeteria and food services operations are being run in a safe and healthful manner. Ensure that any noted discrepancies were resolved.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Secondary Test: Water Management (HS011.S)

Note: Reference Information - IBM Safety Standards / GRE Checklist: Water Management under Food and Potable Water Safety

Objective:

To validate that water management systems are in place to provide employees with safe drinking water and to ensure that waste-water treatment operations are in place to protect the health and well-being of employees, contractors, and visitors.

Approach:

1. Review source of drinking water and validate that the water provided to the site is suitable to prevent illness.
2. Review management of wastewater treatment operations to validate suitable management, treatment, and discharge to prevent illness.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 10. Safety

Primary Test: Transportation Safety (HS012.P)

Note: Reference Information - IBM Safety Standards: Transportation Safety

Objective:

To validate that the safety practices and programs for transportation of employees or contractors protect the safety of individuals and comply with IBM and government requirements.

Approach:

Review IBM GRE managed transportation contracts and related safety measures to verify if there is a regular oversight of IBM GRE managed passenger transportation contracts to ensure compliance with safety requirements (e.g., seatbelts, operator driver's license, vehicle preventative maintenance, etc.).

NOTE: Only IBM GRE managed transportation contracts are in scope, i.e., this section may not be applicable to all auditable units.

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 11. Environmental Management

Objective:

Validate if the guidelines and policies as established by Chief Sustainability Office relating to local country and IBM global compliance, are being executed and monitored by the GRE team at all IBM locations.

Note: Although GRE is not the Global Process Owner for Environmental Management, it has some execution responsibilities.

Risk/Exposure:

Failure to comply with legal and environmental requirements and insufficient enforcement of guidelines and policies in accordance with local country and IBM guidelines combined with an inadequate process to monitor and address issues could lead to impacts to health and the environment resulting in employee dissatisfaction, impact to IBM's image, and financial loss.

IBM GLOBAL REAL ESTATE AUDIT PROGRAM #48-10-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 11. Environmental Management

Primary Test: Professional Self-Assessment (EM001.P)

Objective:

To validate that legal, environmental and safety requirements were adhered to, appropriate reviews were performed, rating conclusions supported by appropriate documentation, approvals obtained, and issues actioned in a timely and effective manner.

Approach:

Request most recent annual submission of the applicable Professional Self-Assessments (PSA) from each reporting entity to determine if:

- Reviews were performed timely as required, and results were recorded in Chief Sustainability Office (CSO) TRIRIGA data base.
- Verify that all questions with a response of “Complies with minor deviations”, “Pending” or “Unsatisfactory”, associated action items have an owner identified and target date for closure.
- Do the overall results of the PSA review support the final assessment of Satisfactory, Marginal, or Unsatisfactory?
- From the PSA Checklist, select a sample of line items and review the documentation that supported the “Complies”, “Complies with minor deviations”, “Unsatisfactory”, “Pending”, “Not applicable” responses.